Question 5

Antarbarti Limited reported a Profit Before Tax (PBT) of ₹ 4 lakhs for the third quarter ending 30-09-20X1. On enquiry you observe the following. Give the treatment required under AS 25:

(i) Dividend income of ₹ 4 lakhs received during the quarter has been recognized to the extent of ₹ 1 lakh only.

(ii) 80% of sales promotion expenses ₹ 15 lakhs incurred in the third quarter has been deferred to the fourth quarter as the sales in the last quarter is high.

(iii) In the third quarter, the company changed depreciation method from WDV to SLM, which resulted in excess depreciation of ₹ 12 lakhs. The entire amount has been debited in the third quarter, assuming it is the charge for the 3rd quarter only.

(iv) ₹ 2 lakhs extra-ordinary gain received in third quarter was allocated equally to the third and fourth quarter.

(v) Cumulative loss resulting from change in method of inventory valuation was recognized in the third quarter of ₹ 3 lakhs. Out of this loss ₹ 1 lakh relates to previous quarters.

(vi) Sale of investment in the first quarter resulted in a gain of ₹ 20 lakhs. The company had apportioned this equally to the four quarters.

Prepare the adjusted profit before tax for the third quarter.

Answer

As per para 36 of AS 25 "Interim Financial Reporting", seasonal or occasional revenue and cost within a financial year should not be deferred as of interim date until it is appropriate to defer at the end of the enterprise's financial year. Therefore, dividend income, extra-ordinary gain, and gain on sale of investment received during 3rd quarter should be recognised in the 3rd quarter only. Similarly, sales promotion expenses incurred in the 3rd quarter should also be charged in the 3rd quarter only.

Further, as per AS 10, Property, Plant and Equipment, if there is change in the depreciation method, such a change should be accounted for as a change in accounting estimate in accordance with AS 5, Net Profit or Loss for the Period, Prior Period Items and Changes in Accounting Policies, and applied prospectively. Therefore, no adjustment would be required due to change in the method of depreciation.

Accordingly, the adjusted profit before tax for the 3rd quarter will be as follows:

Statement showing Adjusted Profit Before Tax for the third quarter

	(₹in lakhs)
Profit before tax (as reported)	4
Add: Dividend income (4 – 1) lakhs	3
Excess depreciation charged in the 3rd quarter, due to change in the method	–
Extra ordinary gain (2 – 1) lakhs	1
Cumulative loss due to change in the method of inventory valuation should be applied retrospectively (3 – 2) lakhs	1
	9
Less: Sales promotion expenses (80% of ₹ 15 lakhs)	(12)
Gain on sale of investment (occasional gain should not be deferred)	(5)
Adjusted Profit before tax for the third quarter	**(8)**

Question 6

On 30th June, 20X1, Asmitha Ltd. incurred ₹ 2,00,000, net loss from disposal of a business segment. Also, on 31st July, 20X1, the company paid ₹ 60,000 for property taxes assessed for the calendar year 20X1. How the above transactions should be included in determination of net income of Asmitha Ltd. for the six months interim period ended on 30th September, 20X1.

Answer

According to Para 10 of **AS 25** "Interim Financial Reporting", if an enterprise prepares and presents a complete set of financial statements in its interim financial report, the form and content of those statements should confirm to the requirements as applicable to annual complete set of financial statements. As at 30th September, 20X1, Asmitha Ltd would **report the entire amount of ₹ 2,00,000 as loss on the disposal of its business segment since the loss was incurred during interim period**. A cost charged as an expense in an annual period should be allocated to interim periods on accrual basis.

Since ₹ 60,000 **Property tax** payment relates to entire calendar year 20X1, **₹ 30,000** would be reported as an **expense for six months ended on 30th September, 20X1** while out of the **remaining** ₹ 30,000, **₹ 15,000 for January, 20X1 to March, 20X1** should be shown as **payment of the outstanding** amount of previous year **and another ₹ 15,000 related to quarter October, 20X1 to December, 20X1 would be reported as prepaid expenses**.

Recognition of Items in Interim Financial Statements [Income Tax Expense]

Question 7

An enterprise reports quarterly, estimates an annual income of ₹ 10 lakhs. Assume tax rates on 1st ₹ 5,00,000 at 30% and on the balance income at 40%. The estimated quarterly income are ₹ 75,000, ₹ 2,50,000, ₹ 3,75,000 and ₹ 3,00,000.

Calculate the tax expense to be recognized in each quarter.

Answer

As per para 29 of AS 25 'Interim Financial Reporting', income tax expense is recognised in each interim period based on the best estimate of the weighted average annual income tax rate expected for the full financial year.

		₹
Estimated Annual Income	**(A)**	10,00,000
Tax expense:		
30% on ₹ 5,00,000		1,50,000
40% on remaining ₹ 5,00,000		2,00,000
	(B)	3,50,000

Weighted average annual income tax rate = $\frac{B}{A} = \frac{3,50,000}{10,00,000} = 35\%$

Tax expense to be recognized in each of the quarterly reports

		₹
Quarter I	₹ 75,000 x 35%	26,250

Quarter II	₹ 2,50,000 x 35%	87,500
Quarter III	₹ 3,75,000 x 35%	1,31,250
Quarter IV	₹ 3,00,000 x 35%	1,05,000
	₹ 10,00,000	**3,50,000**

Question 8

The accounting year of X Ltd. ends on 30th September, 20X1 and it makes its reports quarterly. However for the purpose of tax, year ends on 31st March every year. For the Accounting year from 1-10-20X0 to 30-9-20X1, the quarterly income is as under:

1st quarter ending on 31st December, 20X0	₹ 200 crores
2nd quarter ending on 31st March, 20X1	₹ 200 crores
3rd quarter ending on 30th June, 20X1	₹ 200 crores
4th quarter ending on 30th September, 20X1	₹ 200 crores
Total	₹ 800 crores

Average actual tax rate for the financial year ending on 31st March, 20X1 is 20% and for financial year ending 31st March, 20X2 is 30%. Calculate tax expense for each quarter.

Answer

Calculation of tax expense

1st quarter ending on 31st December, 20X0	200 x 20%	₹ 40 lakhs
2nd quarter ending on 31st March, 20X1	200 x 20%	₹ 40 lakhs
3rd quarter ending on 30th June, 20X1	200 x 30%	₹ 60 lakhs
4th quarter ending on 30th September, 20X1	200 x 30%	₹ 60 lakhs

CHAPTER - 25
AS 26: Intangible Assets

Cost of Purchased Intangible Asset

Question 1

A Company acquired for its internal use a software on 01.03.20X1 from U.K. for £ 1,50,000. The exchange rate on the date was as ₹ 100 per £. The seller allowed trade discount @ 2.5%. The other expenditures were:

(i) Import Duty 10%

(ii) Additional Import Duty 5%

(iii) Entry Tax 2% (Recoverable later from tax department).

(iv) Installation expenses ₹ 1,50,000.

(v) Professional fees for clearance from customs ₹ 50,000. Compute the cost of software to be Capitalized as per relevant AS.

Answer

Calculation of cost of software (intangible asset) acquired for internal use

Purchase cost of the software	£ 1,50,000
Less: Trade discount @ 2.5%	£ (3,750)
	£ 1,46,250
Cost in ₹ (UK £ 1,46,250 x ₹ 100)	1,46,25,000
Add: Import duty on cost @ 10% (₹)	14,62,500
	1,60,87,500
Add: Additional import duty @ 5% (₹)	8,04,375
	1,68,91,875
Add: Installation expenses (₹)	1,50,000
Add: Professional fee for clearance from customs (₹)	50,000
Cost of the software to be capitalized (₹)	**1,70,91,875**

Note: Since entry tax has been mentioned as a recoverable/refundable tax, it is not included as part of the cost of the asset.

Cost of Internally Generated Intangible Asset

Question 2

AB Ltd. launched a project for producing product X in October, 20X1. The Company incurred ₹ 20 lakhs towards Research. Due to prevailing market conditions, the Management came to conclusion that the product cannot be manufactured and sold in the market for the next 10 years. The Management hence wants to defer the expenditure write off to future years.

Advise the Company as per the applicable Accounting Standard.

Answer

As per para 41 of AS 26 "Intangible Assets", expenditure on research should be recognised as an expense when it is incurred. Hence, the expenses amounting ₹ 20 lakhs incurred on the research has to be charged to the statement of profit and loss in the current year ending 31st March, 20X2.

Question 3

Plymouth Ltd. is engaged in research on a new process design for its product. It had incurred ₹ 10 lakhs on research during first 5 months of the financial year 20X1-X2. The development of the process began on 1st September, 20X1 and up to 31st March, 20X2, a sum of ₹ 8 lakh was incurred as Development Phase Expenditure, which meets assets recognition criteria. From 1st April, 20X2, the Company has implemented the new process design and it is likely that this will result in after tax saving of ₹ 2 lakh per annum for next five years. The cost of capital is 10%. The present value of annuity factor of ₹ 1 for 5 years @ 10% is 3.7908.

Decide the treatment of Research and Development Cost of the project as per AS 26. Also calculate amortisation cost for each year.

Answer

Research Expenditure:

According to **AS 26** 'Intangible Assets', the expenditure on research of new process design for its product ₹ 10 lakhs should be charged to Profit and Loss Account in the year in which it is incurred. It is presumed that the entire expenditure is incurred in the financial year 20X1-X2. Hence, it should be **written off as an expense** in that year itself.

Cost of internally generated intangible asset:

it is given that development phase expenditure amounting ₹ 8 lakhs incurred up to 31st March, 20X2 meets asset recognition criteria. As per AS 26, for measurement of such internally generated intangible asset, fair value should be estimated by discounting estimated future net cash flows.

Savings (after tax) from implementation of new design for next 5 years	₹ 2 lakhs p.a.
Company's cost of capital	10 %
Annuity factor @ 10% for 5 years	3.7908
Present value of net cash flows (₹ 2 lakhs x 3.7908)	₹ 7.582 lakhs

The cost of an internally generated intangible asset would be lower of cost value ₹ 8 lakhs or present value of future net cash flows ₹ 7.582 lakhs.

Hence, cost of an internally generated intangible asset will be ₹ 7.582 lakhs.

The difference of ₹ 0.418 lakhs (i.e. ₹ 8 lakhs – ₹ 7.582 lakhs) will be amortized by Plymouth for the financial year 20X1-X2.

Amortisation:

The company can amortise ₹ 7.582 lakhs over a period of five years by charging ₹ 1.516 lakhs per annum from the financial year 20X2-20X3 onwards.

Question 4

During 20X1-20X2, an enterprise incurred costs to develop and produce a routine, low risk computer software product, as follows:

Particular	₹
Completion of detailed program and design (Phase 1)	25,000
Coding and Testing for establishing technical feasibility (Phase 2)	20,000
Other coding costs (Phase 3)	42,000
Testing costs (Phase 4)	12,000
Product masters for training materials (Phase 5)	13,000
Duplication of computer software & training material from product masters (2,000 unit) (Phase 6)	40,000
Packing the product (1,000 units) (Phase 7)	11,000

After completion of phase 2, it was established that the computer software is technically feasible for the market. What amount should be capitalized as software costs in the books of the company, on the Balance Sheet date?

Answer

As per para 44 of **AS 26**, costs incurred in creating a computer software product should be charged to research and development expense when incurred until technological feasibility/asset recognition criteria has been established for the product. Technological feasibility/asset recognition criteria have been established upon completion of detailed programme design or working model. In this case, **₹ 45,000 would be recorded as an expense** (₹ 25,000 for completion of detailed program design and ₹ 20,000 for coding and testing to establish technological feasibility/asset recognition criteria). Cost incurred from point of technological feasibility/asset recognition criteria until the time when products costs are incurred are **capitalized** as software cost (₹ 42,000 + ₹ 12,000 + ₹ 13,000) **₹ 67,000. Duplication of computer software and training materials, from product masters and packing the products are the cost incurred after development phase. Hence, the same shall be expensed off during the year it is incurred.**

Question 5

Surgical Ltd, is developing a new production process of surgical equipment. During the financial year ended 31st March 20X1 the total expenditure incurred on the process was ₹ 67 lakhs. The production process met the criteria for recognition as an intangible asset on 1st January 20X1. Expenditure incurred till this date was ₹ 35 lakhs.

Further expenditure incurred on the process for the financial year ending 31st March 20X2 ₹ 105 lakhs. As on 31st March 20X2, the recoverable amount of technique embodied in the process is estimated to be ₹ 89 lakhs. This includes estimates of future cash outflows and inflows.

Under the provisions of AS 26, you are required to ascertain:

(i) The expenditure to be charged to Profit and Loss Account for the year ended 31st March 20X1;

(ii) Carrying amount of the intangible asset as on 31st March 20X1;

(iii) Expenditure to be charged to Profit and Loss Account for the year ended 31st March 20X2;

(iv) Carrying amount of the intangible asset as on 31st March 20X2.

Answer

As per AS 26 'Intangible Assets'

(i) Expenditure to be charged to Profit and Loss account for the year ended 31.03.20X1

₹ 35 lakhs is recognized as an expense because the recognition criteria were not met until 1st January

20X1. This expenditure will not form part of the cost of the production process recognized as an intangible asset in the balance sheet.

(ii) Carrying value of intangible asset as on 31.03.20X1

At the end of financial year, on 31st March 20X1, the production process will be recognized (i.e. carrying amount) as an intangible asset at a cost of ₹ 32 (67 – 35) lacs (expenditure incurred since the date the recognition criteria were met, i.e., from 1st January 20X1).

(iii) Expenditure to be charged to Profit and Loss account for the year ended 31.03.20X2

	(₹ in lacs)
Carrying Amount as on 31.03.20X1	32
Expenditure during 20X1-20X2	105
Book Value	137
Recoverable Amount	(89)
Impairment loss	48

₹ 48 lakhs to be charged to Profit and loss account for the year ending 31.03.20X2.

(iv) Carrying value of intangible asset as on 31.03.20X2

	(₹ in lacs)
Book Value	137
Less: Impairment loss	(48)
Carrying amount as on 31.03.20X2	89

Amortisation of Intangible Asset

Question 6

A Ltd. has got the license to manufacture particular medicines for 10 years at a license fee of ₹ 200 lakhs. Given below is the pattern of expected production and expected operating cash inflow:

Year	Production in bottles (in lakhs)	Net operating cash flow (₹ in lakhs)
1	300	900
2	600	1,800
3	650	2,300
4	800	3,200
5	800	3,200
6	800	3,200
7	800	3,200
8	800	3,200
9	800	3,200
10	800	3,200

Net operating cash flow has increased for third year because of better inventory management and handling method. Suggest the amortization method & calculate amortization cost of the license for each of the years.

Note: Round off amortisation ratio in upto 2 decimal places.

Answer

As per **AS 26** 'Intangibles Assets', the amortization method used should reflect the pattern in which economic benefits are consumed by the enterprise. If pattern cannot be determined reliably, then straight-line method should be used.

In the instant case, the pattern of economic benefit in the form of net operating cash flow vis-à-vis production is determined reliably. A Ltd. should amortize the license fee of ₹ 200 lakhs as under:

Year	Net operating Cash inflow (₹)	Ratio	Amortize amount (₹ in lakhs)
1	900	0.03	6
2	1,800	0.06	12
3	2,300	0.08	16
4	3,200	0.12	24
5	3,200	0.12	24
6	3,200	0.12	24
7	3,200	0.12	24
8	3,200	0.12	24
9	3,200	0.12	24
10	3,200	0.11 (bal.)	22
	27,400	**1.00**	**200**

Question 7

Swift Ltd. acquired a patent at a cost of ₹ 80,00,000 for a period of 5 years and the product life-cycle is also 5 years. The company capitalized the cost and started amortizing the asset at ₹ 10,00,000 per annum. The company had amortized the patent at 10,00,000 per annum in first two years on the basis of economic benefits derived from the product manufactured under the patent. After two years it was found that the product life-cycle may continue for another 5 years from then. The patent was renewable and Swift Ltd. got it renewed after expiry of five years. The net cash flows from the product during these 5 years were expected to be ₹ 36,00,000, ₹ 46,00,000, ₹ 44,00,000, ₹ 40,00,000 and ₹ 34,00,000. Find out the amortization cost of the patent for each of the years.

Answer

Swift Limited amortised ₹ 10,00,000 per annum for the first two years i.e. ₹ 20,00,000. The remaining carrying cost can be amortised during next 5 years on the basis of net cash flows arising from the sale of the product. The amortisation may be found as follows:

Years	Net cash flows (₹)	Amortisation Ratio	Amortisation Amount (₹)
I	–	0.125	10,00,000
II	–	0.125	10,00,000
III	36,00,000	0.180	10,80,000
IV	46,00,000	0.230	13,80,000
V	44,00,000	0.220	13,20,000
VI	40,00,000	0.200	12,00,000
VII	34,00,000	0.170	10,20,000

Total	2,00,00,000	1.000	80,00,000

It may be seen from above that from third year onwards, the balance of carrying amount i.e., ₹ 60,00,000 has been amortised in the ratio of net cash flows arising from the product of Swift Ltd.

Question 8

Panna Limited purchased software from Agate Limited for a period of 5 years and capitalized the cost. It provided you the following information:

Cost of software ₹ 57,60,000

Expected Life cycle of the software 5 years

The software was amortised at ₹ 6,40,000 per annum in first three years based on economic benefits derived from the software. After three years, it was found that the software may be used for another 5 years from then. So, Panna Limited got it renewed after expiry of five years for 3 more years.

The net cash flows from the software during these 5 years were expected to be as follows:

Year 1	₹ 23,04,000
Year 2	₹ 29,44,000
Year 3	₹ 28,16,000
Year 4	₹ 25,60,000
Year 5	₹ 21,76,000

You are required to calculate the amortization cost of the software for each of the years.

Answer

Panna Limited amortised ₹ 6,40,000 per annum for the first three years i.e. ₹ 19,20,000. The remaining carrying cost can be amortised during next 5 years on the basis of net cash flows arising from the sale of the product. The amortisation may be found as follows:

Year	Net cash flows (₹)	Amortisation Ratio	Amortisation Amount (₹)
I	–	–	6,40,000
II	–	–	6,40,000
III	–	–	6,40,000
IV	23,04,000	0.180	6,91,200
V	29,44,000	0.230	8,83,200
VI	28,16,000	0.220	8,44,800
VII	25,60,000	0.200	7,68,000
IX	21,76,000	0.170	6,52,800
Total	**1,28,00,000**	**1.000**	**57,60,000**

It may be seen from above that from fourth year onwards, the balance of carrying amount i.e., ₹ 38,40,000 has been amortised in the ratio of net cash flows arising from the product of Panna Ltd.

Question 9

Swift Limited acquired patent rights to manufacture Solar Roof Top Panels at a cost of ₹ 600 lacs. The product life cycle has been estimated to be 5 years and the amortization was decided in the ratio of future cash flows which are estimated as under:

Year	1	2	3	4	5
Cash Flows (₹ in lacs)	300	300	300	150	150

After 3rd year, it was estimated that the patents would have an estimated balance future life of 3 years and Swift Ltd. expected the estimated cash flow after 5th year to be ₹ 75 Lacs. Determine the amortization cost of the patent for each of the above years as per Accounting Standard 26.

Answer

Amortization of cost of patent as per AS 26

Year	Estimated future cash flow (₹ in lakhs)	Amortization Ratio	Amortized Amount (₹ in lakhs)
1	300	.25	150
2	300	.25	150
3	300	.25	150
4	150	.10	60
5	150	.10	60
6	75	.05	30
		1.00	**600**

In the first three years, the patent cost will be amortized in the ratio of estimated future cash flows i.e. (300: 300: 300: 150: 150). The unamortized amount of the patent after third year will be ₹ 150 lakh (600 – 450) which will be amortized in the ratio of revised estimated future cash flows (150:150:75 or 2:2:1) in the fourth, fifth and sixth year.

Question 10

In the following cases, record Journal Entries for amortization in the books of Huge Ltd. for the year ended 31st March, 20X7 with reference to AS-26:

(i) Company had acquired Patent Rights for ₹ 340 lakhs on 01.04.20X5. The estimated product life is 4 years. Amortization was decided in the ratio of estimated future cash flows which are as under:

1st Year	₹ 140 Lakhs
2nd Year	₹ 350 Lakhs
3rd Year	₹ 280 Lakhs
4th Year	₹ 420 Lakhs

(ii) The company had developed know-how by incurring expenditure of ₹ 80 lakhs. The know-how has been used by the company since 01.04.20X1. Its useful life is 8 years from the year of commencement of its use. The company has not amortised the asset until 31.03.20X7.

Answer

(i) Journal Entry for the year ended on 31st March 20X7

Particulars		(Dr.) ₹ in lakhs	(Cr.) ₹ in lakhs
Amortization A/c (340 x 350/1,190)	Dr.	100	
To Patent Rights A/c			100
[Being patent right amortised for current year]			
Profit and Loss A/c	Dr.	100	
To Amortization A/c			100
[Being amortization transferred to P&L A/c]			

Working note: Huge Limited amortised ₹ 340 lakhs during next 4 years on the basis of net cash flows arising of the product. The amortisation for second year will be worked out as under: ₹ 340 x 350/1,190 (140 + 350 + 280 + 420) = ₹ 100 lakhs

(ii) Journal Entry for the year ended on 31st March 20X7

Particulars		(Dr.) ₹ in lakhs	(Cr.) ₹ in lakhs
Prior period item A/c	Dr.	50	
Amortization A/c	Dr.	10	
To Know how A/c			60
[Being amortization of 6 years (out of which amortization of 5 years charged as prior period item i.e. 80 x 6/8 = 60 lakhs)]			
Profit and Loss A/c	Dr.	60	
To Amortization A/c			10
To Prior period item A/c			50
(Being amount transferred to Profit and Loss account)			

Question 11

A company is showing an intangible asset at ₹ 88 lakhs as on 01.04.20X5. This asset was acquired for ₹ 120 lakhs on 01.04.20X1 and the same was available for use from that date. The company has been following the policy of amortization of the intangible assets over a period of 15 years on straight line basis. Comment on the accounting treatment of the above with reference to the relevant Accounting Standard.

Answer

As per **AS 26** 'Intangible Assets', the depreciable amount of an intangible asset should be allocated on systematic basis over the best estimate of its useful life. There is a rebuttable presumption that the useful life of an intangible asset will not exceed ten years from the date when the asset is available for use. Company has been following the policy of amortization of the intangible asset over a period of 15 years on straight line basis. The period of 15 years is more than the maximum period of 10 years specified as per AS 26. Accordingly, the company would be required to restate the carrying amount of intangible asset as on 01.04.20X5 at ₹ 72 lakhs i.e. ₹ 120 lakhs less ₹ 48 lakhs [(120 Lakhs/10 years) x 4 years].

The **difference of ₹ 16 Lakhs** (₹ 88 lakhs – ₹ 72 lakhs) will be **adjusted** against the opening balance of revenue reserve. The carrying amount of **₹ 72 lakhs will be amortized over remaining 6 years by amortizing ₹ 12 lakhs per year**.

Mixed Topics

Question 12

As per provisions of AS-26, how would you deal to the following situations:

(1) ₹ 23,00,000 paid by a manufacturing company to the legal advisor for defending the patent of a product is treated as a capital expenditure.

(2) During the year 20X1-X2, a company spent ₹ 7,00,000 for publicity and research expenses on one of its new consumer product which was marketed in the same accounting year but proved to be a failure.

(3) A company spent ₹ 25,00,000 in the past three years to develop a product, these expenses were charged to profit and loss account since they did not meet AS-26 criteria for capitalization. In the current year approval of the concerned authority has been received. The company wishes to capitalize ₹ 25,00,000 by disclosing it as a prior period item.

(4) A company with a turnover of ₹ 200 crores and an annual advertising budget of ₹ 50,00,000 had taken up for the marketing of a new product by a company. It was estimated that the company would have a turnover of ₹ 20 crore from the new product. The company had debited to its Profit & Loss Account the total expenditure of ₹ 50,00,000 incurred on extensive special initial advertisement campaign for the new product.

Answer

As per AS 26 "Intangible Assets", subsequent expenditure on an intangible asset after its purchase or its completion should be recognized as an expense when it is incurred unless (a) it is probable that the expenditure will enable the asset to generate future economic benefits in excess of its originally assessed standard of performance; and (b) expenditure can be measured and attributed to the asset reliably. If these conditions are met, the subsequent expenditure should be added to the cost of the intangible asset.

(i) In the given case, the legal expenses to defend the patent of a product amounting **₹ 23,00,000** should not be capitalized and be **charged to Profit and Loss** Statement.

(ii) The company is required to expense the entire amount of **₹ 7,00,000 in the Profit and Loss** account for the year ended 31st March, 20X2 because no benefit will arise in the future.

(iii) As per AS 26, expenditure on an intangible item that was initially recognized as an expense by a reporting enterprise in previous annual financial statements should not be recognized as part of the cost of an intangible asset at a later date. Thus, the company cannot capitalize the amount of **₹ 25,00,000** and it should be **recognized as expense**.

(iv) Expenditure of **₹ 50,00,000** on advertising and promotional activities should always be **charged to Profit and Loss** Statement. Hence, the company has done the correct treatment by debiting the sum of 50 lakhs to Profit and Loss Account.

Question 13

Naresh Ltd. had the following transactions during the financial year 20X1-20X2:

(i) Naresh Ltd. acquired the running business of Sunil Ltd. for ₹ 10,80,000 on 15th May, 20X1. The fair value of Sunil Ltd.'s net assets was ₹ 5,16,000. Naresh Ltd. is of the view that due to popularity of Sunil Ltd.'s product in the market, its goodwill exists.

(ii) Naresh Ltd. had taken a franchise on July 20X1 to operate a restaurant from Sankalp Ltd. for ₹ 1,80,000

and at an annual fee of 10% of net revenues (after deducting expenditure). The franchise expires after 6 years. Net revenues were ₹ 60,000 during the financial year 20X1-20X2.

(iii) On 20th August, 20X1, Naresh Ltd, incurred costs of ₹ 2,40,000 to register the patent for its product. Naresh Ltd. expects the patent's economic life to be 8 years.

Naresh Ltd. follows an accounting policy to amortize all intangibles on straight line basis over the maximum period permitted by accounting standards taking a full year amortization in the year of acquisition. Goodwill on acquisition of business to be amortized over 5 years (SLM) as per AS 14.

Prepare a schedule showing the intangible assets section in Naresh Ltd. Balance Sheet at 31st March, 20X2.

Answer

Naresh Ltd.

Balance Sheet (Extract relating to intangible asset) as on 31st March 20X2

		Note No.	₹
Assets			
(1)	**Non-current assets**		
	Intangible assets	1	8,11,200

Notes to Accounts (Extract)

		₹	₹
1	**Intangible assets**		
	Goodwill (Refer to note 1)	4,51,200	
	Franchise (Refer to Note 2)	1,50,000	
	Patents (Refer to Note 3)	2,10,000	**8,11,200**

Working Notes:

		₹
(1)	**Goodwill on acquisition of business**	
	Cash paid for acquiring the business (purchase consideration)	10,80,000
	Less: Fair value of net assets acquired	(5,16,000)
	Goodwill	5,64,000
	Less: Amortisation as per AS 14 i.e. over 5 years (as per SLM)	(1,12,800)
	Balance to be shown in the balance sheet	**4,51,200**
(2)	**Franchise**	1,80,000
	Less: Amortisation (over 6 years)	(30,000)
	Balance to be shown in the balance sheet	**1,50,000**
(3)	**Patent**	2,40,000
	Less: Amortisation (over 8 years as per SLM)	(30,000)
	Balance to be shown in the balance sheet	**2,10,000**

CHAPTER - 26
AS 28: Impairment of Assets

Impairment Loss on Individual Asset

Question 1

An asset does not meet the requirements of environment laws which have been recently enacted. The asset has to be destroyed as per the law. The asset is carried in the Balance Sheet at the year end at ₹ 6,00,000. The estimated cost of destroying the asset is ₹ 70,000. How is the asset to be accounted for?

Answer

As per AS 28 "Impairment of Assets", impairment loss is the amount by which the carrying amount of an asset exceeds its recoverable amount, where recoverable amount is the higher of an asset's net selling price (Note 1) and its value in use (Note 2).

In the given case, recoverable amount will be nil [higher of value in use (nil) and net selling price (negative ₹ 70,000)]. Thus, impairment loss will be calculated as ₹ 6,00,000 [carrying amount (₹ 6,00,000) – recoverable amount (nil)]. Therefore, asset is to be fully impaired and **impairment loss of ₹ 6,00,000** has to be recognized as an expense immediately in the statement of **Profit and Loss** as per para 58 of AS 28.

Further, as per para 60 of AS 28, When the amount estimated for an impairment loss is greater than the carrying amount of the asset to which it relates, an enterprise should recognise a liability if, and only if, that is required by another Accounting Standard. Hence, the entity should **recognize liability for cost of disposal of ₹ 70,000** as per AS 10 & 29.

Notes:

1. Net Selling Price = Selling price – Cost of disposal = Nil – ₹ 70,000 = **(₹ 70,000)**
2. In the given case, value in use is **nil**.

Question 2

Venus Ltd. has a PPE, which is carried in the Balance Sheet on 31.3.20X1 at ₹ 500 lakhs. As at that date the value in use is ₹ 400 lakhs and the net selling price is ₹ 375 lakhs.

From the above data:

(i) Calculate impairment loss.

(ii) Prepare journal entries for adjustment of impairment loss.

(iii) Show how impairment loss will be shown in the Balance Sheet.

Answer

(i) **Recoverable amount** is higher of value in use ₹ 400 lakhs and net selling price ₹ 375 lakhs. Recoverable amount = ₹ 400 lakhs

Impairment loss = Carried Amount – Recoverable amount = ₹ 500 lakhs – ₹ 400 lakhs = ₹ 100 lakhs

(ii) **Journal Entries** **(₹ in lakhs)**

Particulars		Debit (₹)	Credit (₹)
Impairment loss account	Dr.	100	
To PPE Account			100

(Being the entry for accounting impairment loss)			
Profit and loss account	Dr.	100	
To Impairment loss			100
(Being the entry to transfer impairment loss to profit and loss account)			

(iii) Balance Sheet of Venus Ltd. as on 31.3.20X1

	(₹ in lakhs)
PPE	
Asset less depreciation	500
Less: Impairment loss	(100)
	400

Question 3

X Ltd. is having a plant (asset) carrying amount of which is ₹ 100 lakhs on 31.3.20X1. Its balance useful life is 5 years and residual value at the end of 5 years is ₹ 5 lakhs. Estimated future cash flow from using the plant in next 5 years are:

For the year ended on	Estimated cash flow (₹ in lakhs)
31.3.20X2	50
31.3.20X3	30
31.3.20X4	30
31.3.20X5	20
31.3.20X6	20

Calculate "value in use" for plant if the discount rate is 10% and also calculate the recoverable amount if net selling price of plant on 31.3.20X1 is ₹ 60 lakhs.

Answer

Present value of future cash flow

Year ended	Future Cash Flow	Discount @ 10% Rate	Discounted cash flow
31.3.20X2	50	0.909	45.45
31.3.20X3	30	0.826	24.78
31.3.20X4	30	0.751	22.53
31.3.20X5	20	0.683	13.66
31.3.20X6	20	0.620	12.40
			118.82
Present value of residual price on 31.3.20X6 [5 x 0.620]			3.10
Present value of estimated cash flow by use of an asset and residual value, which is called "value in use".			121.92

If net selling price of plant on 31.3.20X1 is ₹ 60 lakhs, the recoverable amount will be higher of ₹ 121.92 lakhs (value in use) and ₹ 60 lakhs (net selling price), hence recoverable amount is ₹ 121.92 lakhs.

Question 4

Ergo Industries Ltd. gives the following estimates of cash flows relating to Property, Plant and Equipment on 31.12.20X1. The discount rate is 15%.

Plant and Equipment on 31.12.20X1. The discount rate is 15%.

Year	Cash Flow (₹ in lakhs)
20X2	4,000
20X3	6,000
20X4	6,000
20X5	8,000
20X6	4,000

Residual value at the end of 20X6 = ₹ 1,000 lakhs

Property, Plant and Equipment purchased on 1.1.20XX = ₹ 40,000 lakhs

Useful life = 8 years

Net selling price on 31.12.20X1 = ₹ 20,000 lakhs

Calculate on 31.12.20X1:

(a) Carrying amount at the end of 20X1

(b) Value in use on 31.12.20X1

(c) Recoverable amount on 31.12.20X1

(d) Impairment loss to be recognized for the year ended 31.12.20X1

(e) Revised carrying amount

(f) Depreciation charge for 20X2.

Note: The year 20XX is the immediately preceding year before the year 20X0.

Answer

Calculation of value in use

Year	Cash Flow	Discount as per 15%	Discounted cash flow
20X2	4,000	0.870	3,480
20X3	6,000	0.756	4,536
20X4	6,000	0.658	3,948
20X5	8,000	0.572	4,576
20X6	4,000	0.497	1,988
20X6	(residual) 1,000	0.497	497
			19,025

(a) Calculation of carrying amount

Original cost = ₹ 40,000 lakhs

Depreciation for 3 years = [(40,000 – 1,000) x 3/8] = ₹ 14,625 lakhs

Carrying amount on 31.12.20X1 = [40,000 – 14,625] = ₹ 25,375 lakhs

(b) Value in use = ₹ 19,025 lakhs

(c) **Recoverable amount** = higher of value in use and net selling price i.e. ₹ 20,000 lakhs. Recoverable amount = ₹ 20,000 lakhs

(d) **Impairment Loss** = ₹ (25,375 – 20,000) = ₹ 5,375 lakhs

(e) **Revised carrying amount** = ₹ (25,375 – 5,375) = ₹ 20,000 lakhs

(f) **Depreciation charge for 20X2** = (20,000 – 1,000)/5 = ₹ 3,800 lakhs

Question 5

X Ltd. purchased a Property, Plant and Equipment four years ago for ₹ 150 lakhs and depreciates it at 10% p.a. on straight line method. At the end of the fourth year, it has revalued the asset at ₹ 75 lakhs and has written off the loss on revaluation to the profit and loss account. However, on the date of revaluation, the market price is ₹ 67.50 lakhs and expected disposal costs are ₹ 3 lakhs. What will be the treatment in respect of impairment loss on the basis that fair value for revaluation purpose is determined by market value and the value in use is estimated at ₹ 60 lakhs?

Answer

Treatment of Impairment Loss

As per para 57 of AS 28 "Impairment of assets", if the recoverable amount (higher of net selling price and its value in use) of an asset is less than its carrying amount, the carrying amount of the asset should be reduced to its recoverable amount. In the given case, net selling price is ₹ 64.50 lakhs (₹ 67.50 lakhs – ₹ 3 lakhs) and value in use is ₹ 60 lakhs. Therefore, recoverable amount will be ₹ 64.50 lakhs. Impairment loss will be calculated as ₹ 10.50 lakhs [₹ 75 lakhs (Carrying Amount after revaluation - Refer Working Note) less ₹ 64.50 lakhs (Recoverable Amount)].

Thus, impairment loss of ₹ 10.50 lakhs should be recognised as an expense in the Statement of Profit and Loss immediately since there was downward revaluation of asset which was already charged to Statement of Profit and Loss.

Working Note:

Calculation of carrying amount of the Property, Plant and Equipment at the end of the fourth year on revaluation

	(₹ in lakhs)
Purchase price of a Property, Plant and Equipment	150.00
Less: Depreciation for four years [(150 lakhs/10 years) x 4 years]	(60.00)
Carrying value at the end of fourth year	90.00
Less: Downward revaluation charged to profit and loss account	(15.00)
Revalued carrying amount	**75.00**

Question 6

From the following details of an asset

(i) Find out impairment loss

(ii) Treatment of impairment loss

(iii) Current year depreciation

Particulars of asset:

Cost of asset	₹ 56 lakhs
Useful life period	10 years
Salvage value	Nil
Current carrying value	₹ 27.30 lakhs
Useful life remaining	3 years
Recoverable amount	₹ 12 lakhs
Upward revaluation done in last year	₹ 14 lakhs

Answer

According to **AS 28** "Impairment of Assets", an impairment loss on a revalued asset is recognised as an expense in the statement of profit and loss. However, an impairment loss on a revalued asset is recognised directly against any revaluation surplus for the asset to the extent that the impairment loss does not exceed the amount held in the revaluation surplus for that same asset.

Impairment Loss and its treatment:

	₹
Current carrying amount (including revaluation amount of ₹ 14 lakhs)	27,30,000
Less: Current recoverable amount	(12,00,000)
Impairment Loss	15,30,000
Impairment loss charged to revaluation reserve	14,00,000
Impairment loss charged to profit and loss account	1,30,000

After the recognition of an impairment loss, the depreciation (amortization) charge for the asset should be adjusted in future periods to allocate the asset's revised carrying amount, less its residual value (if any), on a systematic basis over its remaining useful life.

In the given case, the carrying amount of the asset will be reduced to ₹ 12,00,000 after impairment. This amount is required to be depreciated over remaining useful life of 3 years (including current year). Therefore, the depreciation for the current year will be ₹ 4,00,000.

Question 7

G Ltd., acquired a machine on 1st April, 20X0 for ₹ 7 crore that had an estimated useful life of 7 years. The machine is depreciated on straight line basis and does not carry any residual value. On 1st April, 20X4, the carrying value of the machine was reassessed at ₹ 5.10 crore and the surplus arising out of the revaluation being credited to revaluation reserve. For the year ended March, 20X6, conditions indicating an impairment of the machine existed and the amount recoverable ascertained to be only ₹ 79 lakhs. You are required to calculate the loss on impairment of the machine and show how this loss is to be treated in the books of G Ltd. G Ltd., had followed the policy of writing down the revaluation surplus by the increased charge of depreciation resulting from the revaluation.

Answer

Statement Showing Impairment Loss

	(₹ in crores)

Carrying amount of the machine as on 1st April, 20X0		7.00
Depreciation for 4 years i.e. 20X0-20X1 to 20X3-20X4 [(7 crores/7 years) x 4 years]		(4.00)
Carrying amount as on 31.03.20X4		3.00
Add: Upward Revaluation (credited to Revaluation Reserve account)		2.10
Carrying amount of the machine as on 1st April, 20X4 (revalued)		5.10
Less: Depreciation for 2 years i.e. 20X4-20X5 & 20X5-20X6 [(5.10 crores/3 years) x 2 years]		(3.40)
Carrying amount as on 31.03.20X6		1.70
Less: Recoverable amount		(0.79)
Impairment loss		0.91
Less: Balance in revaluation reserve as on 31.03.20X6:		
Balance in revaluation reserve as on 31.03.20X4	2.10	
Less: Enhanced depreciation met from revaluation reserve		
20X4-20X5 & 20X5-20X6 = [(1.70 – 1.00) x 2 years]	(1.40)	
Impairment loss set off against revaluation reserve balance as per para 58 of AS 28 "Impairment of Assets"		(0.70)
Impairment Loss to be debited to profit and loss account		**0.21**

Question 8

A plant was acquired 15 years ago at a cost of ₹ 5 crores. Its accumulated depreciation as at 31st March, 20X1 was ₹ 4.15 crores. Depreciation estimated for the financial year 20X1-20X2 is ₹ 25 lakhs. Estimated Net Selling Price as on 31st March, 20X1 was ₹ 30 lakhs, which is expected to decline by 20% by the end of the next financial year.

Its value in use has been computed at ₹ 35 lakhs as on 1st April, 20X1, which is expected to decrease by 30% by the end of the financial year.

(i) Assuming that other conditions for applicability of the impairment Accounting Standard are satisfied, what should be the carrying amount of this plant as at 31st March, 20X2?

(ii) How much will be the amount of write off for the financial year ended 31st March, 20X2?

(iii) If the plant had been revalued ten years ago and the current revaluation reserves against this plant were to be ₹ 12 lakhs, how would you answer to questions (i) and (ii) above?

(iv) If the value in use was zero and the enterprise were required to incur a cost of ₹ 2 lakhs to dispose of the plant, what would be your response to questions (i) and (ii) above?

Answer

As per AS 28 "Impairment of Assets", if the recoverable amount of an asset is less than its carrying amount, the carrying amount of the asset should be reduced to its recoverable amount and that reduction is an impairment loss. An impairment loss on a revalued asset is recognized as an expense in the statement of profit and loss. However, an impairment loss on a revalued asset is recognised directly against any revaluation surplus for the asset to the extent that the impairment loss does not exceed the amount held in the revaluation surplus for that same asset.

In the given case, recoverable amount (higher of asset's net selling price and value in use) will be ₹ 24.5 lakhs on 31.3.20X2 according to the provisions of AS 28 [Refer working note].

(₹ in lakhs)

(i)	**Carrying amount of plant (after impairment) as on 31st March, 20X2**	24.50
(ii)	**Amount of write off (impairment loss) for the financial year ended 31st March, 20X2** [₹ 60 lakhs – ₹ 24.5 lakhs]	35.50
(iii)	**If the plant had been revalued ten years ago:**	
	Debit to revaluation reserve	12.00
	Amount charged to profit and loss account (₹ 35.50 lakhs – ₹ 12 lakhs)	23.50
(iv)	**If Value in use is zero:**	
	Value in use (a)	Nil
	Net selling price (b)	(–) 2.00
	Recoverable amount [higher of (a) and (b)]	Nil
	Carrying amount (closing book value after impairment)	Nil
	Amount of write off (impairment loss) (₹ 60 lakhs – Nil)	60.00
	Entire book value of plant will be written off and charged to profit and loss account.	

Working Note:

Calculation of Closing Book Value, Estimated Net Selling Value and Estimated Value in Use of Plant at 31st March, 20X2

	(₹ in lakhs)
Opening book value as on 1.4.20X1 (₹ 500 lakhs – ₹ 415 lakhs)	85
Less: Depreciation for financial year 20X1-20X2	(25)
Closing book value as on 31.3.20X2	60
Estimated net selling price as on 1.4.20X1	30
Less: Estimated decrease during the year (20% of ₹ 30 lakhs)	(6)
Estimated net selling price as on 31.3.20X2	24
Estimated value in use as on 1.4.20X1	35.0
Less: Estimated decrease during the year (30% of ₹ 35 lakhs)	(10.5)
Estimated value in use as on 31.3.20X2	24.5

Impairment Loss on CGU

Question 9

Good Drugs and Pharmaceuticals Ltd. acquired a sachet filling machine on 1st April, 20X1 for ₹ 60 lakhs. The machine was expected to have a productive life of 6 years. At the end of financial year 20X1-20X2 the carrying amount was ₹ 41 lakhs. A short circuit occurred in this financial year but luckily the machine did not get badly damaged and was still in working order at the close of the financial year. The machine was expected to fetch ₹ 36 lakhs, if sold in the market. The machine by itself is not capable of generating cash flows. However, the smallest group of assets comprising of this machine also, is capable of generating cash flows of ₹ 54 crore per annum and has a carrying amount of ₹ 3.46 crore. All such machines put together could fetch a sum of ₹ 4.44 crore if disposed. Discuss the applicability of Impairment loss.

Answer

As per provisions of AS 28 "Impairment of Assets", impairment loss is not to be recognized for a given asset if its cash generating unit (CGU) is not impaired. In the given question, the related **cash generating unit** which is group of assets to which the damaged machine belongs is **not impaired**; and the recoverable amount is more than the carrying amount of group of assets. Hence there is **no need to provide for impairment loss** on the damaged sachet filling machine.

CHAPTER - 27
AS 29: Provisions, Contingent Liabilities and Contingent Assets

Provision

Question 1

When should provision be recognized as per provisions of AS 29? Explain in brief.

Answer

A provision should be **recognised only when**:

(a) An enterprise has a **present obligation** as a result of a past event;

(b) It is **probable that an outflow** of resources embodying economic benefits will be required to settle the obligation; and

(c) A **reliable estimate** can be made of the amount of the obligation.

Question 2

An oil company has been contaminating land for several years. It does not clean up because there is no legislation requiring cleaning up. At 31st March 20X1, it is virtually certain that a law requiring a clean-up of land already contaminated will be enacted shortly after the year end. Is provisioning presently necessary?

Answer

As per para 29 of **AS 29** 'Provisions, Contingent Liabilities and Contingent Assets', a past event will lead to present obligation when the enterprise has no realistic alternative to settle the obligation created by the past event.

However, when environmental damage is caused, there may be no obligation to remedy the consequences. The causing of the damage will become an obligating event when a new law requires the existing damage to be rectified. Where details of a proposed new law have yet to be finalised, an obligation arises only when the legislation is virtually certain to be enacted.

In the given case it is **virtually certain that law will be enacted** requiring clean-up of a land already contaminated. Therefore, an oil company **has to provide** for such clean-up cost in the year in which the law is virtually certain to be enacted.

Question 3

Sun Ltd. has entered into a sale contract of ₹ 5 crores with X Ltd. during 20X1-20X2 financial year. The profit on this transaction is ₹ 1 crore. The delivery of goods to take place during the first month of 20X2-20X3 financial year. In case of failure of Sun Ltd. to deliver within the schedule, a compensation of ₹ 1.5 crores is to be paid to X Ltd. Sun Ltd. planned to manufacture the goods during the last month of 20X1-20X2 financial year. As on balance sheet date (31.3.20X2), the goods were not manufactured, and it was unlikely that Sun Ltd. will be able to meet the contractual obligation.

(i) Should Sun Ltd. provide for contingency as per AS 29?

(ii) Should provision be measured as the excess of compensation to be paid over the profit?

Answer

(i) **AS 29** "Provisions, Contingent Liabilities and Contingent Assets" provides that when an enterprise has a present obligation, as a result of past events, that probably requires an outflow of resources and a reliable estimate can be made of the amount of obligation, a provision should be recognized. Sun Ltd. has the obligation to deliver the goods within the scheduled time as per the contract. It is probable that Sun Ltd. will fail to deliver the goods within the schedule and it is also possible to estimate the amount of compensation. Therefore, Sun Ltd. **should provide for the contingency amounting ₹ 1.5 crores** as per AS 29.

(ii) **Provision should not be measured as the excess of compensation to be paid over the profit**. The goods were not manufactured before 31st March, 20X2 and no profit had accrued for the financial year 20X1-20X2. Therefore, **provision should be made for the full amount** of compensation amounting ₹ 1.50 crores.

Question 4

Chaos Limited is in the process of finalizing its accounts for the year ended 31st March, 20X7. It seeks your advice in the following cases:

(i) Chaos Limited has filed a court case in 20X1-X2 against its competitors. It became evident to its lawyers during the year ended 31st March, 20X7 that Chaos Limited may lose the case and would have to pay ₹ 3,00,000 being the cost of litigation. No entries/provisions have been made in the books.

(ii) A new regulation has been passed in 20X6-20X7 by the healthcare ministry to upgrade facilities. Deadline set by the government is 31.03.20X8. The company estimates an expenditure of ₹ 10,00,000 for the said upgrade.

(iii) The company gives one year warranty for its healthcare equipment under the contract of sale that it will make good any manufacturing defect by repair or replacement. As per past experience, it is probable that there will be 1% such cases and estimated cost of repair/replacement is estimated at 10% of such sale value. During the year, the company has made a sale of ₹ 5 crores.

Kindly give your answer for each of above with proper reasoning according to the relevant Accounting Standard. Also state the principles for recognition of provision, as per AS 29.

Answer

Principles for recognition of provisions: As per AS 29, "a provision shall be recognised when:

(i) An entity has a present obligation (legal or constructive) as a result of a past event;

(ii) It is probable that an outflow of resources embodying economic benefits will be required to settle the obligation; and

(ii) A reliable estimate can be made of the amount of the obligation. If these conditions are not met, no provision shall be recognised."

Accounting treatment under the given scenarios:

(i) On 31st March, 20X7, since it is evident to the lawyer that Chaos Limited may lose the case and also a reliable estimate of the outflow can be made as ₹ 3,00,000, there is a present obligation. Hence, **provision should be recognised** for **₹ 3,00,000** for the amount which may be required to settle the obligation.

(ii) Under new regulation, an entity is required to upgrade its facilities by 31st March, 20X8. However, on 31st March, 20X7, i.e. at the end of the reporting period, there is **no obligation** because there is no obligating event either for the costs of upgrading the facilities or for fines under the regulations. Hence, **no provision** should be **recognized** on 31st March, 20X7 for upgrading the facilities by 31st March, 20X8.

(iii) The obligating event is the sale of health care equipment with a warranty, which gives rise to a legal obligation. Here, an outflow of resources embodying economic benefits in settlement is probable for the warranties as a whole. Hence, a **provision is recognized** for the best estimate of the costs of making good under the warranty products sold before the end of the reporting period as follows:

Probability of warranty cases for the entity where repair/replacement may be required as per past experience = 1% of ₹ 5,00,00,000 = ₹ 5,00,000

Estimated cost of repair/replacement = ₹ 5,00,000 x 10% = **₹ 50,000**

Question 5

An airline is required by law to overhaul its aircraft once in every five years. The pacific Airlines which operate aircrafts does not provide any provision as required by law in its final accounts. You are required to comment on the validity of the treatment done by the company in line with the provisions of AS 29.

Answer

A provision should be recognized only when an enterprise has a present obligation arising from a past event or obligation. In the given case, there is no present obligation but a future one, therefore no provision is recognized as per **AS 29.**

The **cost of overhauling aircraft** is **not recognized as a provision** because it is a **future obligation** and the incurring of the **expenditure depends on the company's decision to continue operating the aircrafts**. Even a legal requirement to overhaul does **not require the company to make a provision** for the cost of overhaul because there is no present obligation to overhaul the aircrafts. Further, the enterprise can avoid the future expenditure by its future action, for example by selling the aircraft. However, an obligation might arise to pay fines or penalties under the legislation after completion of five years. Assessment of probability of incurring fines and penalties depends upon the provisions of the legislation and the stringency of the enforcement regime. A provision should be recognized for the best estimate of any fines and penalties if airline continues to operate aircrafts for more than five years.

Question 6

Alloy Fabrication Limited is engaged in manufacturing of iron and steel rods. The company is in the process of finalisation of the accounts for the year ended 31st March, 20X4 and needs your advice on the following issue in line with the provisions of AS-29:

On 1st April, 20X1, the company installed a huge furnace in their plant. The furnace has a lining that needs to be replaced every five years for technical reasons. At the Balance Sheet date 31st March, 20X4, the company does not provide any provision for replacement of lining of the furnace.

Answer

A provision should be recognized only when an enterprise has a present obligation arising from a past event or obligation. In the **given case**, there is **no present obligation** but a future one, **therefore no provision is**

recognized as per **AS 29**. The **cost of replacement of lining of furnace is not recognized as a provision because it is a future obligation**. Even a legal requirement does not require the company to make a provision for the cost of replacement because there is no present obligation. Even the intention to incur the expenditure depends on the company deciding to continue operating the furnace or to replace the lining.

Question 7

A company incorporated under Section 8 of the Companies Act, 2013, have main objective to promote the trade by organizing trade fairs/exhibitions. When company was organizing the trade fair and exhibitions it decided to charge 5% contingency charges for the participants/outside agencies on the income received from them by the company, while in the case of fairs organized by outside agencies, 5% contingency charges are levied separately in the invoice, the contingency charges in respect of fairs organized by the company itself are inbuilt in the space rent charged from the participants. Both are credited to Income and Expenditure Account of the company.

The intention of levying these charges is to meet any unforeseen liability, which may arise in future. The instances of such unforeseen liabilities could be on account of injury/loss of life to visitors/exhibitors, etc., due to fire, terrorist attack, stampede, natural calamities and other public and third-party liability. The chances of occurrence of these events are high because of large crowds visiting the fair. The decision to levy 5% contingency charges was based on assessment only as actual liability on this account cannot be estimated.

The following accounting treatment and disclosure was made by the company in its financial statements:

1. 5% contingency charges are treated as income and matching provision for the same is also being made in accounts.
2. A suitable disclosure to this effect is also made in the notes forming part of accounts.

Required:

(i) Whether creation of provision for contingencies under the facts and circumstances of the case is in conformity with AS 29.

(ii) If the answer of (i) is "No" then what should be the treatment of the provision which is already created in the balance sheet.

Answer

(i) Para 14 of **AS 29** "Provisions, Contingent Liabilities and Contingent Assets" states that a provision should be recognised when (a) An enterprise has a present obligation as a result of a past event and (b) It is probable that an outflow of resources embodying economic benefits will be required to settle the obligation and (c) A reliable estimate can be made of the amount of the obligation. If these conditions are not met, no provision should be recognised.

From the above, it is clear that in the contingencies considered by the company, **neither a present obligation exists as a result of past event, nor a reliable estimate can be made** of the amount of the obligation. Accordingly, a **provision cannot be recognised** for such contingencies under the facts and circumstances of the case.

(ii) "Provision" is the amount retained by the way of providing for any known liability. Since the contingencies stipulated by the company are not known at the balance sheet date, the **provision in this regard cannot be created.** Therefore, provision so created by company shall be treated as a 'Reserve'.

Question 8

An Engineering goods company provides 'after sales warranty' for 2 years to its customers. Based on the past experience, the company has been following policy for making provision for warranties on the Invoice amount on the remaining balance warranty period:

Invoice less than 1 year: 2.5% provision Invoice more than 1 year: 4.5% provision The Company has raised Invoices as under:

Invoice Date	**₹**
20th February, 20X1	42,000
17th July, 20X1	25,000
27th January, 20X2	47,000
1st March, 20X3	1,10,000
24th August, 20X3	34,000
20th March, 20X4	75,000

You are required to:

(i) Calculate the provision to be make for warranty under AS 29 as at 31st March, 20X3 and 31st March, 20X4.

(ii) Also compute the amount to be debited to Profit and Loss Account for the year ended 31st March, 20X4.

Answer

(i) Provision to be made for warranty under AS 29 'Provisions, Contingent Liabilities and Contingent Assets'

As at 31st March 20X3 = ₹ 25,000 x 2.5% + ₹ 47,000 x 2.5% + ₹ 1,10,000 x 4.5%

= ₹ 625 + ₹ 1,175+ ₹ 4,950 = **₹ 6,750**

As at 31st March 20X4 = ₹ 1,10,000x 2.5% + ₹ 34,000 x 4.5% + ₹ 75,000 x 4.5%

= ₹ 2,750 + ₹ 1,530+ ₹ 3,375 = **₹ 7,655**

(ii) Amount debited to Statement of Profit and Loss for year ended 31st March 20X4

	₹
Balance of provision required as on 31.03.20X4	7,655
Less: Opening Balance as on 1.4.20X3	(6,750)
Amount debited to Statement of Profit and loss	**905**

Note: No provision will be made on 31st March 20X4 in respect of sales amounting ₹ 42,000, 25,000 and 47,000 made on as the warranty period

Question 9

A Ltd. has entered into a binding agreement with Gamma Ltd. to buy a custom-made machine ₹ 1,00,000. At the end of 20X1-X2, before delivery of the machine, A Ltd. had to change its method of production. The new method will not require the machine ordered and it will be scrapped after delivery. The expected scrap value is nil.

You are required to advise the accounting treatment and give necessary journal entry in the year 20X1-X2.

Answer

A liability is recognised when outflow of economic resources in settlement of a present obligation can be anticipated and the value of outflow can be reliably measured. In the given case, A Ltd. should recognise a liability of ₹ 1,00,000 to Gamma Ltd.

When flow of economic benefit to the enterprise beyond current accounting period is considered improbable, the expenditure incurred is recognised as an expense rather than as an asset. In the present case, flow of future economic benefit from the machine to the enterprise is improbable. The entire amount of purchase price of the machine should be recognised as an expense.

Journal entries

Particulars		Debit (₹)	Credit (₹)
Loss on change in production method	Dr.	1,00,000	
To Gamma Ltd.			1,00,000
(Loss due to change in production method)			
Profit and loss A/c	Dr.	1,00,000	
To Loss on change in production method			1,00,000
(Loss transferred to profit and loss account)			

Contingent Liability

Question 10

M/s. XYZ Ltd. is in a dispute with a competitor company. The dispute is regarding alleged infringement of Copyrights. The competitor has filed a suit in the court of law seeking damages of ₹ 200 lacs.

The Directors are of the view that the claim can be successfully resisted by the Company.

How would the matter be dealt in the annual accounts of the Company in the light of AS 29? Explain in brief giving reasons for your answer.

Answer

As per **AS 29**, 'Provisions, Contingent Liabilities and Contingent Assets', **provision** should be recognized **when**

(a) An enterprise has a **present obligation** as a result of a past event;

(b) It is **probable that an outflow** of resources embodying economic benefits will be required to settle the obligation; and

(c) A **reliable estimate** can be made of the amount of the obligation.

If these **conditions are not met**, **no provision** should be **recognized**.

In the given situation, since, the directors of the company are of the opinion that the **claim can be successfully resisted** by the company, therefore there will be **no outflow of the resources**. **Hence, no provision** is required. The company will **disclose the same as contingent liability** by way of the following note:

"Litigation is in process against the company relating to a dispute with a competitor who alleges that the company has infringed copyrights and is seeking damages of ₹ 200 lakhs. However, the directors are of the opinion that the claim can be successfully resisted by the company."

Question 11

At the end of the financial year ending on 31st December, 20X1, a company finds that there are twenty law suits outstanding which have not been settled till the date of approval of accounts by the Board of Directors. The possible outcome as estimated by the Board is as follows:

		Probability	Loss (₹)
In respect of five cases:	Win	100%	–
Next ten cases:			
	Win	50%	–
	Lose (Low damages)	40%	1,20,000
	Lose (High damages)	10%	2,00,000
Remaining five cases:			
	Win	50%	–
	Lose (Low damages)	30%	1,00,000
	Lose (High damages)	20%	2,10,000

Outcome of each case is to be taken as a separate entity. Ascertain the amount of contingent loss and the accounting treatment in respect thereof.

Answer

According to **AS 29** (Revised) 'Provisions, Contingent Liabilities and Contingent Assets', **contingent liability** should be disclosed in the financial statements if following conditions **are satisfied**:

(i) There is a **present obligation** arising out of past events but **not recognized as provision.**

(ii) It is **not probable that an outflow** of resources embodying economic benefits will be required to settle the obligation.

(iii) The **possibility of an outflow** of resources embodying economic benefits is **not remote**.

(iv) The **amount of the obligation cannot be measured** with sufficient reliability to be recognized as provision.

In this case, the probability of winning of first five cases is 100% and hence, question of providing for contingent loss does not arise. The probability of winning of next ten cases is 50% and for remaining five cases is 50%. As per AS 29 (Revised), we make a provision if the loss is probable. As the loss does not appear to be probable and the possibility of an outflow of resources embodying economic benefits is remote, therefore disclosure by way of note should be made. For the purpose of the disclosure of contingent liability by way of note, amount may be calculated as under:

Expected loss in next ten cases = 40% of ₹ 1,20,000 + 10% of ₹ 2,00,000

= ₹ 48,000 + ₹ 20,000 = **₹ 68,000**

Expected loss in remaining five cases = 30% of ₹ 1,00,000 + 20% of ₹ 2,10,000

= ₹ 30,000 + ₹ 42,000 = **₹ 72,000**

To **disclose contingent liability** on the basis of maximum loss will be highly unrealistic. Therefore, the better approach will be to disclose the overall expected loss of **₹ 10,40,000** (₹ 68,000 x 10 + ₹ 72,000 x 5) as contingent liability.

Mixed Topics

Question 12

(a) The company has not made provision for warranty in respect of certain goods considering that the company can claim the warranty cost from the original supplier.

You are required to examine in line with the provisions of AS 29.

(b) Explain whether provision is required in the following situations in line with AS 29:

(i) There is a present obligation that probably requires an outflow of resources and a reliable estimate can be made of the amount of obligation;

(ii) There is a possible obligation or a present obligation that may, but probably will not, require an outflow of resources.

(iii) There is a possible obligation or a present obligation where the likelihood of an outflow of resources is remote.

Answer

(a) As per provisions of **AS 29** "Provisions, Contingent Liabilities and Contingent Assets", where some or all of the expenditure required to settle a provision is expected to be reimbursed by another party, the reimbursement should be recognized when, and only when, it is virtually certain that reimbursement will be received if the enterprise settles the obligation. The reimbursement should be treated as a separate asset. The amount recognized for the reimbursement should not exceed the amount of the provision.

It is apparent from the question that the company had not made provision for warranty in respect of certain goods considering that the company can claim the warranty cost from the original supplier. However, the provision for warranty should have been made as per AS 29 and the amount claimable as reimbursement should be treated as a separate asset in the financial statements of the company rather than omitting the disclosure of such liability. Accordingly, it can be said that the accounting treatment adopted by the company with respect to warranty is **not correct.**

(b) (i) There is a present obligation that probably requires an outflow of resources and a reliable estimate can be made of the amount of obligation – **Provision is recognised. Disclosures are required for the provision.**

(ii) There is a possible obligation or a present obligation that may, but probably will not, require an outflow of resources – **No provision is recognised. Disclosures are required for the contingent liability**.

(iii) There is a possible obligation or a present obligation where the likelihood of an outflow of resources is remote – **No provision is recognised. No disclosure is required**.

Question 13

With reference to AS 29, how would you deal with the following in the annual accounts of the company at the Balance Sheet dates:

During 20X1-X2 Ace Ltd. gives a guarantee of certain borrowings of Brew Ltd., whose financial condition at that time is sound. During 20X2-X3, the financial condition of Brew Ltd. deteriorates and on 31st Dec. 20X2, it goes into liquidation. (Balance Sheet date 31-3-X2).

Answer

As per **AS 29,** for a liability to qualify for recognition there must be not only a present obligation but also the probability of an outflow of resources embodying economic benefits to settle that obligation.

The obligating event is the giving of the guarantee by Ace Ltd. for certain borrowings of Brew Ltd., which gives rise to an obligation. No outflow of benefits is probable at **31st March 20X2**.Thus **no provision is recognized.** The guarantee is **disclosed as a contingent liability** unless probability of any outflow is regarded as remote.

During 20X2-X3, the financial condition of Brew Ltd. deteriorates and finally goes into liquidation. The obligating event is the giving of the guarantee, which gives rise to a legal obligation. At 31st March 20X3, it is **probable that an outflow** of resources embodying economic benefits will be required to settle the obligation. Thus, **provision is recognized** for the best estimate of the obligation.

Question 14

EXOX Ltd. is in the process of finalising its accounts for the year ended 31st March, 20X2. The company seeks your advice on the following:

(i) The Company's sales tax assessment for assessment year 20X1-X2 has been completed on 14th February, 20X4 with a demand of ₹ 2.76 crore. The company paid the entire due under protest without prejudice to its right of appeal. The Company files its appeal before the appellate authority wherein the grounds of appeal cover tax on additions made in the assessment order for a sum of 2.10 crore.

(ii) The Company has entered into a wage agreement in May, 20X2 whereby the labour union has accepted a revision in wage from June, 20X1. The agreement provided that the hike till May, 20X2 will not be paid to the employees but will be settled to them at the time of retirement. The company agrees to deposit the arrears in Government Bonds by September, 20X2.

Answer

(i) Since the company is not appealing against the addition of ₹ 0.66 crore the same should be provided for in its accounts for the year ended on 31st March, 20X4. The amount paid under protest can be kept under the heading '**Loans & Advances' and disclosed as a contingent liability of ₹ 2.10 crore**.

(ii) The arrears for the period from June, 20X1 to March, 20X2 are **required to be provided** for in the accounts of the company for the year ended on 31st March, 20X2.

Question 15

During the year, QA Ltd. delivered manufactured products to customer K. The products were faulty and on 1st October, 20X1 customer K commenced legal action against the Company claiming damages in respect of losses due to the supply of faulty product. Upon investigating the matter, QA Ltd. discovered that the products were faulty due to defective raw material procured from supplier F. Therefore, on 1st December, 20X1, the Company commenced legal action against F claiming damages in respect of the supply of defective raw materials.

QA Ltd. has estimated that it's probability of success of both legal actions, the action of K against QA Ltd. and action of QA Ltd. against F, is very high.

On 1st October, 20X1, QA Ltd. has estimated that the damages it would have to pay K would be ₹ 5 crore. This estimate was revised to ₹ 5.2 crore as on 31st March, 20X2 and ₹ 5.25 crore as at 15th May, 20X2. This case was eventually settled on 1st June, 20X2, when the Company paid damages of ₹ 5.3 crore to K.

On 1st December, 20X1, QA Ltd. had estimated that it would receive damages of ₹ 3.5 crore from F. This estimate was revised to ₹ 3.6 crore as at 31st March, 20X2 and ₹ 3.7 crore as on 15th May, 20X2. This case was eventually settled on 1st June, 20X2 when F paid ₹ 3.75 crore to QA Ltd. QA Ltd. had, in its financial statements for the year ended 31st March, 20X2, provided ₹ 3.6 crore as the financial statements were approved by the Board of Directors on 26th April, 20X2.

(i) Whether the Company is required to make provision for the claim from customer K as per applicable AS? If yes, please give the rationale for the same.

(ii) If the answer to (a) above is yes, what is the entry to be passed in the books of account as on 31st March, 20X2?

(iii) What will the accounting treatment of the action of QA Ltd. against supplier F as per applicable AS?

Answer

(i) **Yes,** QA Ltd. is required to make provision for the claim from customer K as per AS 29 since the claim is a present obligation as a result of delivery of faulty goods manufactured. Also, it is probable that an outflow of resources embodying economic benefits will be required to settle the obligations. Further, a reliable estimate of **₹ 5.2 crore** can be made of the amount of the obligation while preparing the financial statements as on 31st March, 20X2.

(ii)

Statement of Profit and Loss A/c		Dr.	₹ 5.2 crore
To Current Liability A/c			₹ 5.2 crore

(iii) As per para 30 of AS 29, QA Ltd. shall **not recognise a contingent asset**. Here the probability of success of legal action is very high but there is no concrete evidence which makes the inflow virtually certain. Hence, it will be considered as contingent asset only and shall not be recognized.

Question 16

Saharsh Ltd. is engaged in manufacturing of electric home appliances. The company is in the process of finalizing its accounts for the year ended 31.3.20X1 and needs your expert advice on the following issues:

(i) The company has its plants at 3 different locations. It has to shut down one of its plants due to internal reasons. The said plant site is under a rental agreement till 31.3.20X2. The rent per month is ₹ 80,000. If the company cancels the agreement, it has to pay a penal amount equal to six month's rent. The company also has an option to sub-let the site at a rent of ₹ 45,000 per month.

(i) A case has been filed against the company in the consumer court and a notice for levy of a penalty of ₹ 20 lakhs has been received. The company has appointed a lawyer to defend the case for a fee of ₹ 2 lakhs. 50% of the fees has been paid and balance 50% will be paid after finalisation of the case. There are 75% chances that the penalty may not be levied.

(ii) The company had committed to supply a consignment worth ₹ 1 crore to one of its dealers by the year-end. As per the contract, if delivery is not made on time, a compensation of 15% of the value is to be paid. While the consignment was in transit, one of the trucks carrying goods worth ₹ 30 lakhs met with an accident. It was however covered by Insurance. According to the surveyor's report, the policy amount is collectable, subject to 10% deduction. Before closing the books of accounts, the company has received the information that the policy amount has been processed and the dealer has also claimed for the compensation.

Give your answers based on relevant accounting standard.

Answer

(i) As per AS 29, an 'onerous contract' is a contract in which the unavoidable costs of meeting the obligations under the contract exceed the economic benefits expected to be received under it. The unavoidable costs under a contract is the lower of net cost of fulfilling it and any compensation or penalties arising from failure to fulfil it.

In the given case, Saharsh Ltd. is required to pay:

In case of cancellation of agreement = ₹ 80,000 x 6 months = **₹ 4,80,000**

In case of continuance of agreement (in case of sub-let):

Net of rent paid over rent collected from sub-tenant (₹ 80,000 – 45,000) x 12 = **₹ 4,20,000**

Lower of the above is to be **provided** for i.e**. ₹ 4,20,000** is to be provided for.

(ii) As per AS 29, an obligation is a present obligation if, based on the evidence available, its existence at the balance sheet date is considered probable, i.e., more likely than not. Liability is a present obligation of the enterprise arising from past events, the settlement of which is expected to result in an outflow from the enterprise of resources embodying economic benefits.

In the given case, there are **75% chances that the penalty may not be levied**. Accordingly, Saharsh Ltd. should **not make the provision for penalty**.

However, a **provision should be made for remaining 50% fees** of the lawyer in the financial statements of financial year 20X1-20X2.

(iii)

Loss due to accident	₹ 30,00,000
Insurance claim receivable by company = ₹ 30,00,000 x 90%	₹ 27,00,000
Loss to be recognised in the books for 20X1-20X2	₹ 3,00,000
Insurance claim receivable to be recorded in the books	₹ 27,00,000
Compensation claim against company to be provided for in books = 30,00,000 x 15%	₹ 4,50,000

Question 17

With reference to AS 29, how would you deal with the following in the Annual Accounts of the company at the Balance Sheet date:

(i) The company operates an offshore oilfield where its licensing agreement requires it to remove the oil rig at the end of production and restore the seabed. Eighty five percent of the eventual costs relate to the removal of the oil rig and restoration of damage caused by building it, and fifteen percent arise through the extraction of oil. At the balance sheet date, rig has been constructed but no oil has been extracted.

(ii) The Government introduces a number of changes to the taxation laws. As a result of these changes, the company will need to train a large proportion of its accounting and legal workforce in order to ensure continued compliances with tax law regulations. At the balance sheet date, no retraining of staff has taken place.

Answer

(i) The construction of the oil rig creates an obligation under the terms of the license to remove the rig and restore the seabed and is thus an obligating event. At the balance sheet date, however, there is no obligation to rectify the damage that will be caused by extraction of the oil. An outflow of resources embodying economic benefits in settlement is probable. **Thus, a provision is recognized** for the best

estimate of **85% of** the eventual **costs that relate to the removal of the oil rig and restoration** of damage caused by building it. These costs are included as part of the cost of the oil rig.

However, there is **no obligation to rectify the damage that will be caused by extraction of oil**, as no oil has been extracted at the balance sheet date. So, **no provision** is required **for the cost of extraction of oil** at balance sheet date. 15% of costs that arise through the extraction of oil are recognized as a liability when the oil is extracted.

(ii) As per AS 29, a provision for restructuring costs is recognized only when the recognition criteria for provisions are met. A restructuring provision does not include costs as of retraining or relocating continuing staff.

The expenditures of training the staff related to the future conduct of the business and **are not liabilities for restructuring** at the balance sheet date. Such expenditures are recognized on the same basis as if they arose independently of a restructuring. At the balance sheet date, no such expenditure has been incurred hence **no provision is required**.

Question 18

S Ltd. (a Public Sector Company) provides consultancy and engineering services to its clients. In the year 20X5-X6, the Government has set up a commission to decide about the pay revision. The pay will be revised with respect from 1-1-20X1 based on the recommendations of the commission. The company makes the provision of ₹ 680 lakhs for pay revision in the financial year 20X5-X6 on the estimated basis as the report of the commission is yet to come. As per the contracts with the client on cost plus job, the billing is done on the actual payment made to the employees and allocated to jobs based on hours booked by these employees on each job.

The company discloses through notes to accounts:

"Salaries and benefits include the provision of ₹ 680 lakhs in respect of pay revision. The amount chargeable from reimbursable jobs will be billed as per the contract when the actual payment is made".

The accountant feels that the company should also book/recognise the income by ₹ 680 lakhs in Profit and Loss Account as per the terms of the contract. Otherwise, it will be the violation of matching concept & understatement of profit. Comment on the opinion of the Accountant with reference to relevant accounting standards.

Answer

As per **AS 29**, 'Provisions, Contingent Liabilities and Contingent Assets', where some or all of the expenditure required to settle a provision is expected to be reimbursed by another party, the reimbursement should be recognised when, and only when, it is virtually certain that reimbursement will be received if the enterprise settles the obligation. **The reimbursement should be treated as a separate asset**. The amount recognised for the reimbursement **should not exceed the amount of the provisions**.

Accordingly, potential loss to an enterprise may be reduced or avoided because a contingent liability is matched by a related counter-claim or claim against a third party. In such cases, the amount of the provision is determined after taking into account the probable recovery under the claim if no significant uncertainty as to its measurability or collectability exists. In this case, the provision of salary to employees of ₹ 680 lakhs will be ultimately collected from the client, as per the terms of the contract. Therefore, the **liability of ₹ 680 lakhs is matched by the counter claim from the client**. Hence, the provision for salary of employees should be matched with the reimbursable asset to be claimed from the client. It appears that the whole amount of Rs. 680 lakhs is recoverable from client and there is no significant uncertainty about the collection. Hence, the net

charge to profit and loss account should be nil.

The opinion of the accountant regarding **recognition of income of ₹ 680 lakhs is not as per AS29** and also the concept of prudence will not be followed if ₹ 680 lakhs is simultaneously recognized as income. ₹ 680 lakhs is not the revenue at present but **only reimbursement of claim for which an asset is created**. However the accountant is correct to the extent as that non-recognition of ₹ 680 lakhs as income will result in the understatement of profit. To avoid this, in the statement of profit and loss, **expense relating to provision may be presented net of the amount recognized for reimbursement**.

CHAPTER - 28
Preparation of Financial Statements of Companies

Preparation of Balance Sheet

Question 1

From the following particulars furnished by Alpha Ltd., prepare the Balance Sheet as on 31st March 20X1 as required by Part I, Schedule III to the Companies Act, 2013.

Particulars		Debit (₹)	Credit (₹)
Equity Share Capital (Face value of ₹ 100 each)			50,00,000
Call in Arrears		5,000	
Land & Building		27,50,000	
Plant & Machinery		26,25,000	
Furniture		2,50,000	
General Reserve			10,50,000
Loan from State Financial Corporation			7,50,000
Inventory:			
Raw Materials	2,50,000		
Finished Goods	10,00,000	12,50,000	
Provision for Taxation			6,40,000
Trade receivables		10,00,000	
Short term Advances		2,13,500	
Profit & Loss Account			4,33,500
Cash in Hand		1,50,000	
Cash at Bank		12,35,000	
Unsecured Loan			6,05,000
Trade payables (for Goods and Expenses)			8,00,000
Loans & advances from related parties (Short term)			2,00,000
		94,78,500	**94,78,500**

The following additional information is also provided:

(i) 10,000 Equity shares were issued for consideration other than cash.

(ii) Trade receivables of ₹ 2,60,000 are due for more than 6 months.

(iii) The cost of the Assets were:

Land and Building ₹ 30,00,000, Plant & Machinery ₹ 35,00,000 and Furniture ₹ 3,12,500

(iv) The balance of ₹ 7,50,000 in the Loan Account with State Finance Corporation is inclusive of ₹ 37,500 for Interest Accrued but not Due. The loan is secured by hypothecation of Plant & Machinery.

(v) Balance at Bank includes ₹ 10,000 with Omega Bank Ltd., which is not a Scheduled Bank.

(vi) Transfer ₹ 20,000 to general reserve is proposed by Board of directors.

(vii) Board of directors declared dividend of 5% on the paid up capital on 2nd April, 20X1.

Answer

Alpha Ltd.

Balance Sheet as at 31st March, 20X1

Particulars			Notes	₹
		Equity and Liabilities		
1		**Shareholders' funds**		
	(a)	Share capital	1	49,95,000
	(b)	Reserves and Surplus	2	14,83,500
2		**Non-current liabilities**		
	(a)	Long term borrowings	3	13,17,500
3		**Current liabilities**		
	(a)	Short term Borrowing	4	2,00,000
	(b)	Trade Payables		8,00,000
	(c)	Other Current Liabilities	5	37,500
	(d)	Short term provision	6	6,40,000
		Total		**94,73,500**
		Assets		
1		**Non-current assets**		
	(a)	Property, Plant and Equipment and intangible asset		
		i. Property, plant and Equipment	7	56,25,000
2		**Current assets**		
	(a)	Inventories	8	12,50,000
	(b)	Trade receivables	9	10,00,000
	(c)	Cash and Cash equivalents	10	13,85,000
	(d)	Short-term loans and advances		2,13,500
		Total		**94,73,500**

Notes to accounts

S. No.	Particulars		₹
1	**Share Capital**		
	Issued & subscribed & called up:		
	50,000 Equity Shares of ₹ 100 each		50,00,000
	(10,000 shares issued for consideration other than cash)		
	Less: Calls in arrears		(5,000)
			49,95,000
2	**Reserves and Surplus**		
	General reserve	10,50,000	
	Add: current year transfer Profit & Loss balance	20,000	10,70,000
	Profit & loss Balance:		
	Profit for the year	4,33,500	
	Less: Appropriations: Transfer to General reserve	(20,000)	4,13,500
			14,83,500

3	**Long term borrowings**		
	Secured-Term Loans:		
	Loan from State Financial Corporation (7,50,000 – 37,500)		7,12,500
	(Secured by hypothecation of Plant and Machinery)		
	Unsecured loan:		6,05,000
			13,17,500
4	**Short term borrowing**		
	Loans and advances		**2,00,000**
5	**Other Current liabilities**		
	Interest accrued but not due on loans (SFC)		**37,500**
6	**Short-term provisions**		
	Provision for taxation		**6,40,000**
7	**Property, Plant and Equipment (PPE)**		
	Buildings	30,00,000	
	Less: Depreciation (b.f.)	(2,50,000)	27,50,000
	Plant & Machinery	35,00,000	
	Less: Depreciation (b.f.)	(8,75,000)	26,25,000
	Furniture & Fittings	3,12,500	
	Less: Depreciation (b.f.)	(62,500)	2,50,000
			56,25,000
8	**Inventories**		
	Raw Material		2,50,000
	Finished goods		10,00,000
			12,50,000
9	**Trade receivables**		
	Debts outstanding for a period exceeding six months		2,60,000
	Other Debts		7,40,000
			10,00,000
10	**Cash and cash equivalents**		
	Cash at bank:		
	with Scheduled Banks	12,25,000	
	with others (Perfect Bank Ltd.)	10,000	12,35,000
	Cash in hand		1,50,000
	Other bank balances		Nil
			13,85,000

Note: The final dividend will not be recognized as a liability at the balance sheet date (even if it is declared after reporting date but before approval of the financial statements) as per Accounting Standards. Hence, it has not been recognized in the financial statements for the year ended 31 March, 20X1. Such dividends will be disclosed in notes only.

Question 2

From the following particulars furnished by Pioneer Ltd., prepare the Balance Sheet as at 31st March, 20X1 as required by Schedule III of the Companies Act. Give notes at foot of Balance Sheet as may be found necessary.

		Debit (₹)	Credit (₹)
Equity Capital (Face value of ₹ 100)			10,00,000
Calls in Arrears		1,000	
Land		2,00,000	
Building		3,50,000	
Plant and Machinery		5,25,000	
Furniture		50,000	
General Reserve			2,10,000
Loan from State Financial Corporation			1,50,000
Inventory:			
Finished Goods	2,00,000		
Raw Materials	50,000	2,50,000	
Provision for Taxation			68,000
Trade receivables		2,00,000	
Advances (Short term)		42,700	
Dividend Payable			60,000
Profit and Loss Account			86,700
Cash Balance		30,000	
Cash at Bank		2,47,000	
Loans (Unsecured)			1,21,000
Trade payables (For Goods and Expenses)			2,00,000
		18,95,700	**18,95,700**

The following additional information is also provided:

(1) 2,000 equity shares were issued for consideration other than cash.

(2) Trade receivables of ₹ 52,000 are due for more than six months.

(3) The cost of assets:

Building	₹ 4,00,000
Plant and Machinery	₹ 7,00,000
Furniture	₹ 62,500

(4) The balance of ₹ 1,50,000 in the loan account with State Finance Corporation is inclusive of ₹ 7,500 for interest accrued but not due. The loan is secured by hypothecation of the Plant and Machinery.

(5) Balance at Bank includes ₹ 2,000 with Perfect Bank Ltd., which is not a Scheduled Bank.

(6) The company had contract for the erection of machinery at ₹ 1,50,000 which is still incomplete.

Answer

Pioneer Ltd.

Balance Sheet as at 31st March, 20X1

Particulars			Notes	₹
		Equity and Liabilities		
1		**Shareholders' funds**		
	(a)	Share capital	1	9,99,000
	(b)	Reserves and Surplus	2	2,96,700
2		**Non-current liabilities**		
	(a)	Long term borrowings	3	2,63,500
3		**Current liabilities**		
	(a)	Trade Payables		2,00,000
	(b)	Other current Liabilities	4	67,500
	(c)	Short term provision	5	68,000
		Total		**18,94,700**
		Assets		
1		**Non-current assets**		
	(a)	Property, Plant and Equipment and intangible asset		
		i. Property, plant and Equipment	6	11,25,000
2		**Current assets**		
	(a)	Inventories	7	2,50,000
	(b)	Trade receivables	8	2,00,000
	(c)	Cash and Cash equivalents	9	2,77,000
	(d)	Short-term loans and advances		42,700
		Total		**18,94,700**

Notes to accounts

S. No.	Particulars		₹
1	**Share Capital**		
	Issued & subscribed & called up:		
	10,000 Equity Shares of ₹ 100 each		10,00,000
	(2,000 shares have been issued for consideration other than cash)		
	Less: Calls in arrears		(1,000)
			9,99,000
2	**Reserves and Surplus**		
	General reserve		2,10,000
	Profit & loss Balance:		86,700
			2,96,700
3	**Long term borrowings**		
	Secured-Term Loans:		
	Loan from State Financial Corporation (1,50,000 – 7,500)		1,42,500
	(Secured by hypothecation of Plant and Machinery)		
	Unsecured loan		1,21,000
			2,63,500

4	**Other current liabilities**		
	Interest accrued but not due on loans (SFC)		7,500
	Dividend Payable		60,000
			67,500
5	**Short-term provisions**		
	Provision for taxation		**68,000**
6	**Property, Plant and Equipment (PPE)**		
	Land		2,00,000
	Buildings	4,00,000	
	Less: Depreciation (b.f.)	(50,000)	3,50,000
	Plant & Machinery	7,00,000	
	Less: Depreciation (b.f.)	(1,75,000)	5,25,000
	Furniture & Fittings	62,500	
	Less: Depreciation (b.f.)	(12,500)	50,000
			11,25,000
7	**Inventories**		
	Raw Material		50,000
	Finished goods		2,00,000
			2,50,000
8	**Trade receivables**		
	Debts outstanding for a period exceeding six months		52,000
	Other Debts		1,48,000
			2,00,000
9	**Cash and cash equivalents**		
	Cash at bank		
	with Scheduled Banks	2,45,000	
	with others (Perfect Bank Ltd.)	2,000	2,47,000
	Cash in hand		30,000
	Other bank balances		Nil
			2,77,000

Note: Estimated amount of contract remaining to be executed on capital account and not provided for ₹ 1,50,000. It has been assumed that the company had given this contract for purchase of machinery.

Question 3

On 31st March, 20X1 Bose and Sen Ltd. provides to you the following ledger balances after preparing its Profit and Loss Account for the year ended 31st March, 20X1:

Credit Balances:

	₹
Equity shares capital, fully called shares of ₹ 10 each	70,00,000

General Reserve	15,49,100
Loan from State Finance Corporation	10,50,000
(Secured by hypothecation of Plant & Machinery Repayable within one year ₹ 2,00,000)	
Loans: Unsecured (Long term)	8,47,000
Sundry Creditors for goods &expenses (Payable within 6 months)	14,00,000
Profit & Loss Account	7,00,000
Provision for Taxation	8,16,900
	1,33,63,000

Debit Balances:

	₹
Calls in arrear	7,000
Land	14,00,000
Buildings	20,50,000
Plant and Machinery	36,75,000
Furniture & Fixture	3,50,000
Inventories: Finished goods	14,00,000
Raw Materials	3,50,000
Trade Receivables	14,00,000
Advances: Short-term	2,98,900
Cash in hand	2,10,000
Balances with banks	17,29,000
Preliminary Expenses	93,100
Patents & Trademarks	4,00,000
	1,33,63,000

The following additional information is also provided in respect of the above balances:

(i) 4,20,000 fully paid equity shares were allotted as consideration for land & buildings.

(ii) Cost of Building ₹ 28,00,000

(iii) Cost of Plant & Machinery ₹ 49,00,000

Cost of Furniture & Fixture ₹ 4,37,500

(iv) Trade receivables for ₹ 3,80,000 are due for more than 6 months.

(v) The amount of Balances with Bank includes ₹ 18,000 with a bank which is not a scheduled Bank and the deposits of ₹ 5 lakhs are for a period of 9 months.

(vi) Unsecured loan includes ₹ 2,00,000 from a Bank and ₹ 1,00,000 from related parties.

(vii) Entire amount of Preliminary expenses to be written off, by adjusting from opening balance of General Reserve.

You are not required to give previous year's figures. You are required to prepare the Balance Sheet of the Company as on 31st March, 20X1 as required under Schedule III to the Companies Act, 2013.

Answer

Bose and Sen Ltd.

Balance Sheet as at 31st March, 20X1

Particulars			Notes	₹
		Equity and Liabilities		
1		**Shareholders' funds**		
	(a)	Share capital	1	69,93,000
	(b)	Reserves and Surplus	2	21,56,000
2		**Non-current liabilities**		
	(a)	Long term borrowings	3	16,97,000
3		**Current liabilities**		
	(a)	Short term Borrowing	4	2,00,000
	(b)	Trade Payables		14,00,000
	(c)	Short term provision	5	8,16,900
		Total		**1,32,62,900**
		Assets		
1		**Non-current assets**		
	(a)	Property, Plant and Equipment and intangible asset		
		i. Property, plant and Equipment	6	74,75,000
		ii. Intangible assets (Patents & Trade Marks)		4,00,000
2		**Current assets**		
	(a)	Inventories	7	17,50,000
	(b)	Trade receivables	8	14,00,000
	(c)	Cash and Cash equivalents	9	19,39,000
	(d)	Short-term loans and advances		2,98,900
		Total		**1,32,62,900**

Notes to accounts

S. No.	Particulars		₹
1	**Share Capital**		
	Issued & subscribed & called up:		
	7,00,000 Equity Shares of ₹ 10 each		70,00,000
	(4,20,000 shares issued for consideration other than cash)		
	Less: Calls in arrears		(7,000)
			69,93,000
2	**Reserves and Surplus**		
	General reserve	15,49,100	
	Less: Preliminary expenses	(93,100)	14,56,000
	Profit & loss Balance		7,00,000
			21,56,000
3	**Long term borrowings**		
	Secured-Term Loans:		
	Loan from State Financial Corporation (₹ 10,50,000 – ₹ 2,00,000)		8,50,000

	(Secured by hypothecation of Plant and Machinery)		
	Unsecured loan:		
	Bank Loan	2,00,000	
	Loan from related parties	1,00,000	
	Others	5,47,000	8,47,000
			16,97,000
4	**Short term borrowing**		
	Current maturities of long-term		**2,00,000**
	(debt-loan Instalment repayable within one year)		
5	**Short-term provisions**		
	Provision for taxation		**8,16,900**
6	**Property, Plant and Equipment (PPE)**		
	Land		14,00,000
	Buildings	28,00,000	
	Less: Depreciation (b.f.)	(7,50,000)	20,50,000
	Plant & Machinery	49,00,000	
	Less: Depreciation (b.f.)	(12,25,000)	36,75,000
	Furniture & Fittings	4,37,500	
	Less: Depreciation (b.f.)	(87,500)	3,50,000
			74,75,000
7	**Inventories**		
	Raw Material		3,50,000
	Finished goods		14,00,000
			17,50,000
8	**Trade receivables**		
	Debts outstanding for a period exceeding six months		3,80,000
	Other Debts		10,20,000
			14,00,000
9	**Cash and cash equivalents**		
	Cash at bank:		
	with Scheduled Banks	12,11,000	
	with others (Perfect Bank Ltd.)	18,000	12,29,000
	Bank deposits for period of 9 months		5,00,000
	Cash in hand		2,10,000
			19,39,000

Question 4

On 31st March, 20X1, SR Ltd. provides the following ledger balances after preparing its Profit & Loss Account for the year ended 31st March, 20X1.

Particulars	Debit (₹)	Credit (₹)
Equity Share Capital, fully paid shares of ₹ 50 each		80,00,000
Calls in arrear	15,000	
Land	25,00,000	
Buildings	30,00,000	
Plant & Machinery	24,00,000	
Furniture & Fixture	13,00,000	
Securities Premium		15,00,000
General Reserve		9,41,000
Profit & Loss Account		5,80,000
Loan from Public Finance Corporation (Secured by Hypothecation of Land)		26,30,000
Other Long-Term Loans		22,50,000
Short Term Borrowings		4,60,000
Inventories: Finished goods	45,00,000	
Raw materials	13,00,000	
Trade Receivables	17,50,000	
Advances: Short Term	3,75,000	
Trade Payables		8,13,000
Provision for Taxation		3,80,000
Unpaid Dividend		70,000
Cash in Hand	70,000	
Balances with Banks	4,14,000	
Total	**1,76,24,000**	**1,76,24,000**

The following additional information was also provided in respect of the above balances:

(1) 50,000 fully paid equity shares were allotted as consideration for land.

(2) The cost of assets were:

Building	₹ 32,00,000
Plant and Machinery	₹ 30,00,000
Furniture and Fixture	₹ 16,50,000

(3) Trade Receivables for ₹ 4,86,000 due for more than 6 months.

(4) Balances with banks include ₹ 56,000, the Naya bank, which is not a scheduled bank.

(5) Loan from Public Finance Corporation repayable after 3 years.

(6) The balance of ₹ 26,30,000 in the loan account with Public Finance Corporation is inclusive of ₹1,34,000 for interest accrued but not due. The loan is secured by hypothecation of land.

(7) Other long term loans (unsecured) includes:

Loan taken from Nixes Bank (Amount repayable within one year ₹ 4,80,000)	₹ 13,80,000
Loan taken from Directors	₹ 8,50,000

(8) Bills Receivable for ₹ 1,60,000 maturing on 15th June, 20X1 has been discounted.

(9) Short term borrowings include:

Loan from Naya bank	₹ 1,16,000 (Secured)
Loan from directors	₹ 48,000

(10) Transfer of ₹ 35,000 to general reserve has been proposed by the Board of directors out of the profits for the year.

(11) Inventory of finished goods includes loose tools costing ₹ 5 lakhs (which do not meet definition of property, plant & equipment as per AS 10)

You are required to prepare the Balance Sheet of the Company as on March 31st 20X1 as required under Part - I of Schedule III of the Companies Act, 2013.

You are not required to give previous year figures.

Answer

SR Ltd.

Balance Sheet as at 31st March, 20X1

Particulars			Notes	₹
		Equity and Liabilities		
1		**Shareholders' funds**		
	(a)	Share capital	1	79,85,000
	(b)	Reserves and Surplus	2	30,21,000
2		**Non-current liabilities**		
	(a)	Long term borrowings	3	42,66,000
3		**Current liabilities**		
	(a)	Short-term borrowings	4	9,40,000
	(b)	Trade Payables		8,13,000
	(c)	Other Current Liabilities	5	2,04,000
	(d)	Short term provision	6	3,80,000
		Total		**1,76,09,000**
		Assets		
1		**Non-current assets**		
	(a)	Property, Plant and Equipment and intangible asset		
		i. Property, plant and Equipment	7	92,00,000
2		**Current assets**		
	(a)	Inventories	8	58,00,000
	(b)	Trade receivables	9	17,50,000
	(c)	Cash and Cash equivalents	10	4,84,000
	(d)	Short-term loans and advances		3,75,000
		Total		**1,76,09,000**

Notes to accounts

S. No.	Particulars		₹
1	**Share Capital**		
	Issued & subscribed & called up:		

	1,60,000 Equity Shares of ₹ 50 each		80,00,000
	(50,000 shares issued for consideration other than cash)		
	Less: Calls in arrears		(15,000)
			79,85,000
2	**Reserves and Surplus**		
	General reserve	9,41,000	
	Add: Transferred from Profit and loss account	35,000	9,76,000
	Securities premium		15,00,000
	Surplus (Profit & Loss A/c)	5,80,000	
	Less: Appropriation to General Reserve (proposed)	(35,000)	5,45,000
			30,21,000
3	**Long term borrowings**		
	Secured-Term Loans:		
	Loan from State Financial Corporation (₹ 26,30,000 – ₹ 1,34,000)		24,96,000
	(Secured by hypothecation of Land and repayable after 3 years)		
	Unsecured loan:		
	Bank Loan (₹ 13,80,000 – ₹ 4,80,000 repayable within 1 year)	9,00,000	
	Loan from Directors	8,50,000	
	Others	20,000	17,70,000
			42,66,000
4	**Short-term borrowings**		
	Loan from Naya bank (Secured)		1,16,000
	Loan from Nixes bank repayable within one year		4,80,000
	(Current maturity of Long term borrowing)		
	Loan from Directors		48,000
	Others		2,96,000
			9,40,000
5	**Other current liabilities**		
	Interest accrued but not due on loans (SFC)		1,34,000
	Unpaid dividend		70,000
			2,04,000
6	**Short-term provisions**		
	Provision for taxation		**3,80,000**
7	**Property, Plant and Equipment (PPE)**		
	Land		25,00,000
	Buildings	32,00,000	
	Less: Depreciation (b.f.)	(2,00,000)	30,00,000
	Plant & Machinery	30,00,000	
	Less: Depreciation (b.f.)	(6,00,000)	24,00,000
	Furniture & Fittings	16,50,000	

	Less: Depreciation (b.f.)	(3,50,000)	13,00,000
			92,00,000
8	**Inventories**		
	Raw Material		13,00,000
	Finished goods (45,00,000 – 5,00,000)		40,00,000
	Loose tools		5,00,000
			58,00,000
9	**Trade receivables**		
	Debts outstanding for a period exceeding six months		4,86,000
	Other Debts		12,64,000
			17,50,000
10	**Cash and cash equivalents**		
	Cash at bank:		
	with Scheduled Banks	3,58,000	
	with others (Perfect Bank Ltd.)	56,000	4,14,000
	Cash in hand		70,000
	Other bank balances		Nil
			4,84,000

Preparation of P&L and Balance Sheet

Question 5

The following is the Trial Balance of Omega Limited as on 31.3.20X2: **(Figures in ₹ '000)**

	Debit		**Credit**
Land at cost	220	Equity Capital (Shares of ₹ 10 each)	300
Plant & Machinery at cost	770	10% Debentures	200
Trade Receivables	96	General Reserve	130
Inventories (31.3.X2)	86	Profit & Loss A/c	72
Bank	20	Securities Premium	40
Adjusted Purchases	320	Sales	700
Factory Expenses	60	Trade Payables	52
Administration Expenses	30	Provision for Depreciation	172
Selling Expenses	30	Suspense Account	4
Debenture Interest	20		
Interim Dividend Paid	18		
	1670		**1670**

Additional Information:

(i) The authorised share capital of the company is 40,000 shares of ₹ 10 each.

(ii) The company on the advice of independent valuer wish to revalue the land at ₹ 3,60,000.

(iii) Declared final dividend @ 10% on 2nd April, 20X2.

(iv) Suspense account of ₹ 4,000 represents cash received for the sale of some of the machinery on 1.4.20X1. The cost of the machinery was ₹ 10,000 and the accumulated depreciation thereon being ₹ 8,000.

(v) Depreciation is to be provided on plant and machinery at 10% on cost.

You are required to prepare Omega Limited's Balance Sheet as on 31.3.20X2 and Statement of Profit and Loss with notes to accounts for year ended 31.3.20X2 as per Schedule III. Ignore previous years' figures & taxation.

Answer

Omega Limited

Balance Sheet as at 31st March, 20X2

Particulars			Notes	(₹ in 000)
		Equity and Liabilities		
1		**Shareholders' funds**		
	(a)	Share capital	1	300
	(b)	Reserves and Surplus	2	530
2		**Non-current liabilities**		
	(a)	Long term borrowings	3	200
3		**Current liabilities**		
	(a)	Trade Payables		52
		Total		**1082**
		Assets		
1		**Non-current assets**		
	(a)	Property, Plant and Equipment and intangible asset		
		i. Property, plant and Equipment	4	880
2		**Current assets**		
	(a)	Inventories		86
	(b)	Trade receivables		96
	(c)	Cash and Cash equivalents		20
		Total		**1082**

Omega Limited

Statement of Profit and Loss for the year ended 31st March, 20X2

Particulars		Notes	(₹ in 000)
I	Revenue from operation		700
II	Other income	5	2
III	**Total Income (I + II)**		**702**
IV	**Expenses**		
	Purchase of stock in trade		320
	Finance costs	6	20
	Depreciation and amortization expense		76
	Other expenses	7	120

V	**Total expenses**		**536**
VI	**Profit before tax (III – V)**		**166**
VII	Tax expense		–
VIII	**Profit after tax (VI – VII)**		**166**

Notes to accounts

S. No.	Particulars		₹ in ('000)
1	**Share Capital**		
	Equity share capital		
	Authorized:		
	40,000 shares of ₹ 10 each		400
	Issued & subscribed & called up		
	30,000 shares of ₹ 10 each		**300**
2	**Reserves and Surplus**		
	Revaluation reserve (360 – 220)		140
	General reserve		130
	Securities premium		40
	Profit & loss Balance:		
	Opening balance	72	
	Profit for the period	166	
		238	
	Less: Appropriations (Interim Dividend)	(18)	220
			530
3	**Long term borrowings**		
	10% Debentures		**200**
4	**Property, Plant and Equipment (PPE)**		
	Land:		
	Opening balance	220	
	Add: Revaluation adjustment	140	
	Closing balance		360
	Plant and Machinery:		
	Opening balance	770	
	Less: Disposed off	(10)	
		760	
	Less: Depreciation (17 – 8 + 76)	(240)	
	Closing balance		520
			880
5	**Other Income**		
	Profit on sale of machinery:		
	Sale value of machinery		4
	Less: Book value of machinery (10 – 8)		(2)

			2
6	**Finance costs**		
	Debenture interest		**20**
7	**Other expenses**		
	Factory expenses		60
	Selling expenses		30
	Administrative expenses		30
			120

Note: The final dividend will not be recognized as a liability at balance sheet date (even if it is declared after reporting date but before approval of financial statements) as per Accounting Standards. Hence, it has not been recognized in financial statements for year ended 31st March, 20X2. Such dividend will be disclosed in notes.

Question 6

Following is the trial balance of Delta limited as on 31.3.20X2. **(Figures in ₹ '000)**

Particulars	Debit	Particulars	Credit
Land at cost	800	Equity share capital of ₹ 10 each	500
Calls in arrears	5	10% Debentures	300
Cash in hand	2	General reserve	150
Plant & Machinery at cost	824	Profit & Loss A/c (bal. on 1.4.X1)	75
Trade receivables	120	Securities premium	40
Inventories (31.3.X2)	96	Sales	1200
Cash at Bank	28	Trade payables	30
Adjusted Purchases	400	Provision for depreciation	150
Factory expenses	80	Suspense Account	10
Administrative expenses	45		
Selling expenses	25		
Debenture Interest	30		
	2455		**2455**

Additional Information:

(i) The authorized share capital of the company is 80,000 shares of ₹ 10 each.

(ii) The company revalued the land at ₹ 9,60,000.

(iii) Equity share capital includes shares of ₹ 50,000 issued for consideration other than cash.

(iv) Suspense account of ₹ 10,000 represents cash received from the sale of some of the machinery on 1.4.20X1. The cost of the machinery was ₹ 24,000 and the accumulated depreciation thereon being ₹ 20,000. The balance of Plant & Machinery given in trial balance is before adjustment of sale of machinery.

(v) Depreciation is to be provided on plant and machinery at 10% on cost.

(vi) Balance at bank includes ₹ 5,000 with ABC Bank Ltd., which is not a Scheduled Bank.

(vii) Make provision for income tax @ 30%.

(viii) Trade receivables of ₹ 50,000 are due for more than six months.